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Report Name: Direct Versus Indirect Trade -- Romania's Hidden Market for US Ag Exports

Country: Romania

Post: Bucharest

Report Category: Agricultural Situation, Fishery Products, Avocado, Canned Deciduous Fruit, Dried Fruit, Fresh Deciduous Fruit, Fresh Fruit, Kiwifruit, Raisins, Stone Fruit, Strawberries, Oilseeds and Products, Livestock and Products, Tree Nuts, Wine, Beverages, Potatoes and Potato Products, Potatoes and Potato Products

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Report Highlights:

The U.S. Census Bureau's bulk, intermediate, and consumer-oriented (BICO) export data tracks U.S. food and agricultural trade shipped directly to Romania. However, it does not measure the substantial levels of the U.S. agricultural trade to Romania routed through Western European ports of entry. According to BICO, U.S. suppliers shipped \$72 million of U.S. food and agriculture to Romania in 2019. However, according to Romania's National Institute of Statistics (NIS), which measures trade by country of origin and therefore reflects both direct and indirect trade, Romania sourced upwards of \$163.2 million of U.S. food and agriculture in 2019. FAS Bucharest encourages USDA cooperators and other U.S. food and agricultural exporters and stakeholders to look beyond BICO data and review different data sources when considering resource allocation and market development strategies for Romania.

General Information:

The United States is a top-20 supplier of food and agriculture to Romania. U.S. goods flow into Romania either directly from the United States (mainly bulk and intermediate products) or are transshipped through the other westerns European Union (EU) ports of entry in Italy, the Netherlands, Germany, and the United Kingdom. Because [BICO](#) data only reflects direct U.S. trade to Romania, it does not reflect significant volumes of U.S. trade routed through distributors in Rotterdam, Bremerhaven, and other large Western European port cities. As a result, Post views Romania's [National Institute of Statistics](#) (NIS) data, which includes both direct and indirect trade, as a more accurate reflection of Romanian demand for U.S. food and agriculture.

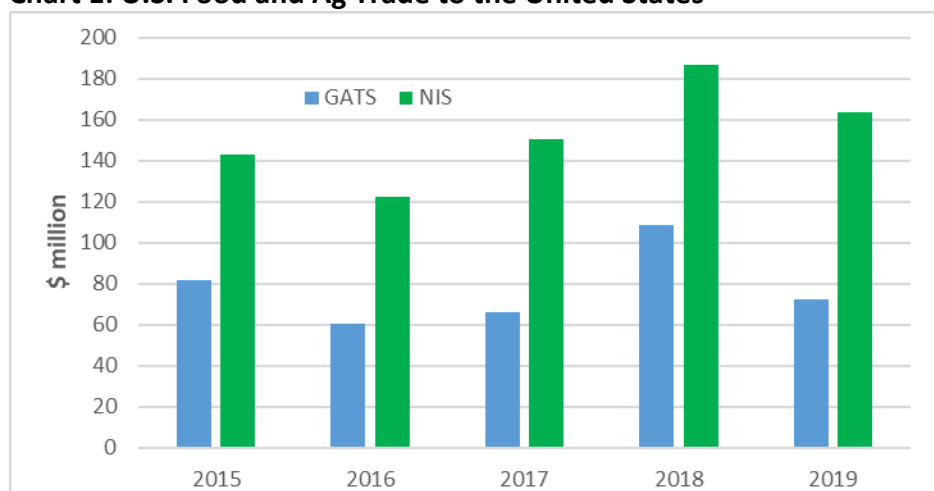
According to NIS data, Romanian importers sourced \$163.2 million worth of U.S. food and agricultural products in 2019. Food preparations, sunflower seeds, soybean meal, distilled spirits, and nuts were the largest categories and accounted for 65 percent of total U.S. food and agricultural trade to Romania.

Table 1. U.S. Food and Agricultural Trade to Romania 2015-2019 (\$ million)

Source of Data	2015	2016	2017	2018	2019
BICO (Direct U.S. exports to Romania)	81.5	60.6	65.9	108.8	72
NIS* (Direct and Indirect imports from the United States)	142.7	122.0	150.2	186.4	163.2
Difference (Indirect exports)	61.2	61.4	84.3	77.6	91.2
Percentage of indirect exports	43	50	56	42	56

**Data on direct imports published by Trade Data Monitor (TDM)*

Chart 1: U.S. Food and Ag Trade to the United States



U.S. Food and Agricultural Trade to Romania by Category

Direct U.S. agricultural trade to Romania generally consists of bulk commodities shipped as sea freight, including soybeans, soybean meal, sunflower seeds, and some seafood. The trade data for these categories are captured by both BICO and NIS data. Indirect trade tends to be products that are

shipped in smaller quantities, or that may require more flexible terms of trade than U.S. suppliers are able to provide. In other cases, European distributors can offer U.S. shippers volumes and/or payment terms that would be difficult for Romanian importers to match. Many U.S. exporters also find it more efficient to simply ship large volumes to well-established distribution hubs in Western Europe and rely on those channels to supply other EU markets. As well, some Romanian importers prefer to work through European distributors and find it convenient for intermediaries to handle EU customs clearance for U.S. products. Also, for new-to-market products, some Romanian importers prefer to purchase smaller volumes to test consumer demand and to build distribution channels. Finally, European distributors may incentivize Romanian importers with favorable terms of payments or advertising, particularly if there are longstanding commercial relationships. Table 2 below shows additional BICO and NIS data for U.S. agricultural trade to Romania.

Table 2. 2019 Direct and Indirect U.S. Ag, Food, and Fishery Trade to Romania (\$)

HS Code	Description	BICO (Direct U.S. exports to Romania)	NIS* (Direct and indirect U.S. trade to Romania)	Difference (Indirect exports)	% share of Indirect exports
Agricultural and fishery products		72,000,000	163,200,000	91,200,000	55.9
0201 0202	Meat of bovine animals, fresh, chilled or frozen	-	1,105,452	1,105,452	100.0
0303-0307	Fishery Products	721,000	1,901,333	1,180,333	62.1
0701	Potatoes, fresh or chilled	-	783,223	783,223	100.0
0712	Dried vegetables	3,000	83,881	80,881	96.4
071420	Sweet potatoes	65,000	1,118,250	1,053,250	94.2
0802	Other nuts	2,496,000	10,476,947	7,980,947	76.2
0804	Dates, figs, pineapples etc.	7,000	53,231	46,231	86.8
081040	Cranberries	-	34,733	34,733	100.0
1005	Corn	115,000	192,193	77,193	40.2
1006	Rice	13,000	40,395	27,395	67.8
1201	Soya beans	3,953,000	3,060,688	(892,312)	-29.2
1202	Groundnuts	-	813,309	813,309	100.0
1206	Sunflower seeds	19,144,000	29,245,849	10,101,849	34.5
1209	Seeds, fruit and spores	321,000	2,056,253	1,735,253	84.4
1806	Chocolate and other food prep. containing cocoa	-	392,427	392,427	100.0
2008	Fruit, nuts and other edible parts of plants, of which groundnuts	29,000	3,854,016	3,825,016	99.2
200811		29,000	1,315,382	1,286,382	97.8
200893	Cranberries	-	415,545	415,545	100.0
2009	Fruit juices (including grape must) and vegetable	72,000	233,738	161,738	69.2

	juices				
2101	Extracts, essences and concentrates, of coffee, tea	-	584,375	584,375	100.0
2103	Sauces and preparations	210,000	1,035,510	825,510	79.7
2106	Food preparations not elsewhere spec. or included	5,963,000	32,002,659	26,039,659	81.4
2204	Wine of fresh grapes	101,000	374,377	273,377	73.0
2208	Undenatured ethyl alcohol,	7,439,000	15,767,767	8,328,767	52.8
220830	of which whiskies	7,310,000	14,579,920	7,269,920	49.9
2304	Soybean Meal	15,334,000	18,007,839	2,673,839	14.8
2309	Preparations used in pet	1,406,000	5,288,914	3,882,914	73.4
230910	food	835,000	1,918,334	1,083,334	56.5

**Data on direct imports published by TDM*

BICO shows no data for U.S. beef trade to Romania, while NIS data shows that U.S. beef trade reached \$1.1 million in 2019. Beef arrives in Romania mainly through the Netherlands, Italy, and Germany because of volume flexibility and licensing requirements.

While some U.S. seafood, particularly frozen fin fish and shellfish, is shipped directly to Romania through the Port of Constanta, some local seafood importers prefer European distributors in the Netherlands, Germany, or the United Kingdom, especially for fish fillets and mollusks. BICO data undervalued the U.S. exports of fishery products by nearly \$1.2 million in 2019.

For fresh or chilled potatoes, BICO indicated no U.S. trade with Romania, while NIS reflects \$780,000 of U.S. trade. BICO data shows 2019 U.S. sweet potato trade was valued at \$65,000, while NIS data reflects that U.S. sweet potato exports were valued at \$1.1 million. U.S. potatoes and sweet potatoes were shipped to Romania through Germany, Italy, and the Netherlands.

In the case of soybeans, BICO data shows that 2019 U.S. trade to Romania was higher than NIS data. Post expects that these soybeans additional soybeans captured by the U.S. Census Bureau were not consumed in Romania and were transhipped to another market.

BICO does not account for any 2019 U.S. groundnut (peanut) trade to Romania. NIS data shows U.S. peanut trade valued at \$800,000.

BICO reflects \$19.1 million of U.S. sunflower seed trade to Romania in 2019, while NIS values U.S. sunflower seed trade to Romania at \$29.2 million, in 2019. These U.S. Sunflower seeds were shipped through Italy and the Netherlands.

BICO does not account for any chocolate shipped from the United States to Romania in 2019. NIS data which reflects that \$400,000 of chocolate was traded to Romania last year. The main entry gate for chocolate and other food preparations containing cocoa is the United Kingdom.

For food processing ingredients, BICO data shows no U.S. extracts and essences were traded to Romania in 2019, while NIS data reflects almost \$600,000. BICO data reflect that \$210,000 percent of sauces and preparations were traded to Romania, while NIS cites that \$1.03 million of U.S.-origin sauces and preparations were traded to Romania last year. Most U.S. sauces and preparations were routed through Germany, the United Kingdom, and the Netherlands. Food preparations not elsewhere specified are mostly protein concentrates and foods containing/non-containing milk fats, sucrose, and starch. According to BICO data, the U.S. trade of these products to Romania in 2019 was almost \$6 million, while NIS data shows \$32 million of these U.S. products were trade to Romania.

BICO data indicate the 2019 U.S. wine trade to Romania was valued at \$101,000. NIS data for 2019 cited \$374,000 of U.S.-origin wine. The main points of entry were Germany and the United Kingdom.

In the case of soybean meal, the gap between BICO and NIS data is smaller, given that soybean meal is often shipped via ocean freight directly to Romania.

BICO cites U.S. pet food preparations at \$1.4 million, while NIS data reflect about \$5.3 million.

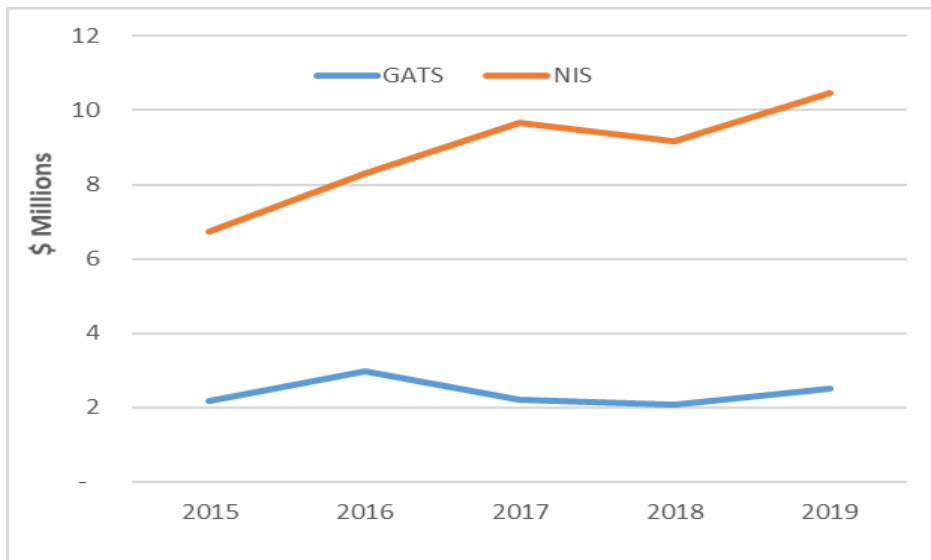
For tree nuts (fresh or dried), BICO data captured \$2.5 million of 2019 trade, while NIS data show \$10.5 million of U.S. tree nuts. Most U.S. tree nuts, such as almonds and pistachios, go shipped to Romania through Germany (see Table 3 below).

Table 3. U.S. Tree Nuts Traded to Romania 2015-2019 (\$)

HS Code	Description		2015	2016	2017	2018	2019
802	Other nuts, fresh or dried	BICO	2,182,000	2,959,000	2,190,000	2,070,000	2,496,000
		NIS	6,728,055	8,299,984	9,681,418	9,182,280	10,478,906
80211	Almonds, in shell	BICO	-	-	-	-	-
		NIS	130,000	173,806	14,000	577,430	1,159,110
080212	Almonds, shelled	BICO	2,015,000	2,844,000	2,055,000	1,695,000	1,367,000
		NIS	3,990,836	6,252,587	6,012,132	5,115,471	5,316,545
080232	Walnuts, shelled	BICO	167,000	-	135,000	274,000	-
		NIS	806,000	1,247,064	2,626,279	2,420,600	1,047,569
080251	Pistachios, in shell	BICO	-	-	-	100,000	1,130,000
		NIS	58,300	13,200	248,000	126,070	2,331,182
080252	Pistachios, shelled	BICO	-	-	-	-	-
		NIS	50,600	143,499	87,000	179,360	196,190
08029010	Pecans	BICO	-	115,000	-	-	-
		NIS	24,770	458,777	679,000	430,410	436,700

Note: Data on direct imports within NIS line published by TDM

Chart 2. U.S. Tree Nut Trade to Romania



Attachments:

No Attachments.